

Chapter - 4

Journalizing – Books of Original Entries

Contents

Sr. No.	Course Outline Topic
1	Journalizing Transactions
2	Journal entry - Practice
3	Compound entry - Practice
4	General Journal - Practice
5	Discounts
6	Journalizing settlement discounts
7	General Journal - Practice with complex accounting entries
8	General Journal - Practice with complex accounting entries
9	Subdivision of Journal
10	Sales Journal
11	Purchase Journal
12	Sales Return Journal
13	Purchase Return Journal
14	Comprehensive practice - subdivision of journal
15	Cash Book
16	Single Column Cash Book
17	Two Column Cash Book
18	Three Column Cash Book
19	Petty Cash Book
	Total Time - Minutes

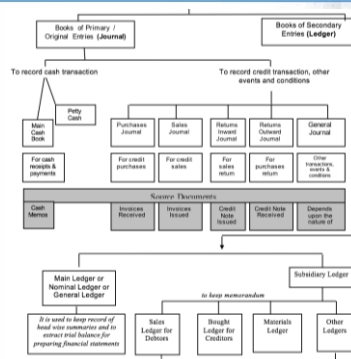
Journal – Books of Original Entries

Journalizing Transactions

Recapitulation – Analyzing Dr & Cr

Main Heads	Nature	Increase	Decrease
Assets	Dr	Dr	Cr
Expenses	Dr	Dr	Cr
Owners' Equity	Cr	Cr	Dr
Liabilities	Cr	Cr	Dr
Incomes	Cr	Cr	Dr

Recapitulation – Books of Accounts



Journal

- First book in accounting cycle
- Maintained chronologically
- Prepared systematically
- For small entities, a general-purpose journal is quite sufficient.

Source of images: Google

Journal Entry

Information recorded in general journal is known as *journal entry* or *accounting entry* or *entry*.

Parts of a Journal Entry

There are six parts of an entry in Accounting language:

- 1) Date.
- 2) Particulars
- 3) Post reference
- 4) Debit amount
- 5) Credit amount
- 6) Narration

Format of Journal & Journal Entry

Sample Transaction

1st Jan 20X9, Cash paid for staff salaries Rs.50,000

1 Date 20X9	2 Particulars/Description	3 Post Ref.	4 Debit (Rs)	5 Credit (Rs)
Jan. 1	Salaries Account (Debit) Cash Account (Credit) (Staff salaries paid in cash)	39 10	50,000	50,000

Source of images: Google

Important Tips To Remember - ITTR

1. Journal is a book of original / primary entry
2. Journal is maintained in chronological sequence
3. Narration is an integral part of Journal entry

Journal – Books of Original Entries

Practice Journal Entry

Practice 4.1

Pass journal entries for the following transactions:

20X9

Jan. 2 Goods bought for cash Rs.20,000.

Jan. 5 Good Rs.35,000.

Jan. 7 l Rs.50,000.

Source of images: Google

Practice 4.1 – Answer

Date 20X9	Particulars/Description	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 2	Purchases Account (Debit) Cash Account (Credit) (Bought goods for cash)	? ?	20,000	20,000
Jan. 5	Cash Account (Debit) Sales Account (Credit) (Sold goods for cash)	? ?	35,000	35,000
Jan. 7	Cash Account (Debit) Loan from friend (Credit) (Loan taken in cash from friend)	? ?	50,000	50,000

Important Tips To Remember - ITTR

1. Debit account comes first and its amount is written in the left column
2. Credit account is written under the debit account by indenting few space and its amount is written in the right side column
3. Don't put "To" as a prefix to the credit accounting head

Journal – Books of Original Entries

Compound Entry

Compound Entry

The single journal entry, which combines multiple journal entries in which same accounting head is repeating

Example – Compound Entry

5 Jan 20X9:

Cash Rs.7,000 was paid for salaries and

Cash Rs.1,000 was paid for purchase of stationery

Date 20X9	Particulars/Description	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 5	Salaries account Cash account (Salaries paid in cash)	? ?	7,000	7,000
Jan. 5	Stationery account Cash account (Stationery purchased for cash.)	? ?	1,000	1,000

Source of images: Google

Example – Compound Entry

5 Jan 20X9:

Cash Rs.7,000 was paid for salaries and

Cash Rs.1,000 was paid for purchase of stationery.

Date 20X9	Particulars/Description	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 5	Salaries account Stationery account Cash account (Salaries paid & Stationery purchased for cash)	? ? ?	7,000 1,000	8,000

Source of images: Google

Important Tips To Remember - ITTR

1. Compound entry combines two journal entries in which one accounting head is common
2. Sum of Dr. should always remain equal to sum of Cr.
3. Narration should be simple and understandable

Journal – Books of Original Entries

Practice General Journal

Practice 4.2

Prepare a journal for the following transactions

- Jan 1:** Capital introduced in the business Rs.10,000 in cash and Rs.20,000 as machinery.
Jan 2: Purchase land for cash Rs.4,000.
Jan 3: Purchase goods for cash Rs.2,000 and on credit from Giant Store Rs.7,000.
Jan 4: Sold goods for cash Rs.3,000.
Jan 5: Rent paid in cash Rs.2,000.
Jan 6: Owner withdrew cash for personal use Rs.500 **OR** Paid Rs.500 to owner for his personal use.
Jan 7: Salaries paid in cash Rs.200.
Jan 8: Bought goods from Moon Light on credit Rs.6,000.
Jan 9: Sold goods on credit to Falcon for Rs.8,000 and for cash Rs.4,000.
Jan 10: Received cash from Falcons 2,500 on his account.

Practice 4.2 – Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 1	Cash Account Machinery Account Capital Account (Cash & machinery introduced as capital)	? ? ?	10,000 20,000	30,000
Jan. 2	Land Account Cash Account (Purchased land for cash)	? ?	4,000	4,000
Jan. 3	Purchases Account Cash Account Creditor (Giant Store) (Goods purchased for cash & on credit from Giant Store)	? ? ?	9,000	2,000 7,000
Jan. 4	Cash Account Sales Account (Sold goods for cash)	? ?	3,000	3,000
Jan. 5	Rent Account Cash Account (Rent paid in cash)	? ?	2,000	2,000

Practice 4.2 – Answer

Date 20X9	Particulars	Post Ref.	Debit (Rs)	Credit (Rs)
Jan. 6	Drawings Account Cash Account (Cash withdrew by the owner for personal use).	? ?	500	500
Jan. 7	Salaries Account Cash Account (Salaries paid in cash).	? ?	200	200
Jan. 8	Purchased Account Creditors (Moon Light) Account (Purchase goods on credit from Moon Light).	? ?	6,000	6,000
Jan. 9	Debtors (Falcon) Account Cash Account Sales Account (Sold goods on credit to Falcons and goods sold for cash)	? ? ?	8,000 4,000	12,000
Jan. 10	Cash Account Debtors (Falcons) Account (Received cash from Falcons on account).	? ?	2,500	2,500

Important Tips To Remember - ITTR

1. It is not compulsory to write "Account" or along with the accounting head appearing in journal entry
2. "Account" can be abbreviated as "a/c" or "A/C"
3. Identify the name of debtor and creditor in journal entry

Journal – Books of Original Entries

Discounts

Discounts

A trader often allows its customers two types of discounts

1. Trade discount
2. Settlement discount

Source of images: Google

Trade Discount

Offered by a seller to its customers before entering into transaction based on some policy

Examples – Trade Discount

1. Bulk purchase discounts
2. Regular customer discounts
3. Season end discounts

Trade discounts are never recorded in the books of either party (Seller or Buyer)

Working – Trade Discount

List price of a product is Rs.220 and retail seller offers 10% discount to its customers,

$$220 - (220 \times 10\%)$$

$$220 - 22$$

$$\text{Rs.198}$$

	Rs.	Rs.
Purchases Account	198	
Cash Account		198

Settlement Discount

Offered by a seller to its customers based on cash settlement terms for early payment of the invoice. Also known as cash discount.

Working – Settlement Discount

Invoice Rs.2,000
Terms 5/10, n/30

Settlement discount
(2,000 x 5%) = Rs.100

- it is recorded in the books of Seller and Buyer.
- for seller it is "discount allowed"
- for buyer it is "discount received"

Important Tips To Remember - ITTR

1. Trade discount is never recorded in journal entry
2. Settlement discount is recorded as "discount allowed" or "discount received"
3. Settlement discount reflects settlement terms

Journal – Books of Original Entries

Journalizing Settlement Discounts

Scenario – Settlement discount

Scenario (i)

Cash received from debtor Rs.114 in full settlement of his account of Rs.120.

	Rs.	Rs.
Cash Account	114	
Debtor Account		114
Discount Allowed	6	
Debtor Account		6

Combining the two entries

Cash account	114
Discount Allowed	6
Debtors Account	120

Scenario – Settlement discount

Scenario (ii)

Cash paid to creditors Rs.95 after deducting a discount of Rs.5.

	Rs.	Rs.
Creditor Account	95	
Cash Account		95
Creditor Account	5	
Discount Received		5

Combining the two entries

Creditor's Account	95
Cash Account	90
Discount Received	5

Settlement terms – Sample invoice

Invoice # 123456		Business Name and Address John Smith Traders	
Date: 19/12/20X9		Customer's Name and Address Star Traders	
Description	Qty	Rate Rs.	Amount Rs.
1. Fans	5	2,000	10,000
2. Air conditioner	2	25,000	50,000
3. Room Coolers	3	10,000	30,000
Sub Total			90,000
Trade discount 10%			(9,000)
Net amount of invoice			81,000
Settlement term: 2/10, n/30			

Accounting entries – Sample invoice

In the Books of Seller (John Smith Traders)

Dec. 19	Debtors A/c.	Rs.	81,000	Rs.	
	Sales A/c.			81,000	

If settled before

Dec. 29	Cash A/c.	79,380			
	Discount allowed A/c.		1,620		
	Debtors A/c.		81,000		

If settled after

Dec. 29	Cash A/c.	81,000			
	Debtors A/c.		81,000		

Accounting entries – Sample invoice

In the Books of Buyer/Customer (Star Traders)

Dec. 19	Purchases A/c.	Rs.	81,000	Rs.	
	Creditors A/c.			81,000	

If settled before

Dec. 29	Creditors A/c.	81,000			
	Cash A/c.		79,380		
	Discount received A/c.		1,620		

If settled after

Dec. 29	Creditors A/c.	81,000			
	Cash A/c.		81,000		

Important Tips To Remember - ITTR

1. Discount allowed is expense
2. Discount received is income
3. Amount in front of "cash account" should always be net of discount

Journal – Books of Original Entries

**Practice
Journalizing
Complex Transactions**

Practice 4.4 – Journalizing

- Dec 1:** Business started with cash Rs.100,000 and furniture worth Rs.35,000 as capital
- Dec 2:** Machinery purchased from Jordan on credit Rs.20,000
- Dec 4:** Loan taken from bank Rs.200,000

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
1	Cash Account	?	100	
	Furniture Account	?	35	
	Capital Account (Cash and Furniture introduced as capital)	?		135
2	Machinery Account	?	20	
	Creditors (Jordan) Account (Machinery purchased on credit from Jordan)	?		20
4	Bank Account	?	200	
	Bank Loan Account (Loan taken from Bank)	?		200

Practice 4.4

- Dec 6:** Machinery returned to Jordan Rs.20,000
- Dec 8:** Bought goods on credit from Pearl Traders Rs.60,000
- Dec 10:** Bought goods on credit from Giant Store for Rs.100,000 subject to a 5% trade discount.

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
1	Creditors (Jordan) Machinery Account (Machinery returned to Jordan).	?	20	20
2	Purchase Account Creditors (Pearl Traders) Account (Bought goods on credit from Pearl Traders)	?	60	
		?		60
4	Purchases Account Creditors (Giant Store) Account (Goods purchased on trade discount of 5%) (100,000 X 95%)	?	95	
		?		95

Practice 4.4

- Dec 11:** Goods sold for Rs.20,000 to Falcon on settlement terms 5/10, n/30.
- Dec 12:** Sold goods on credit to John Smith for Rs.80,000.
- Dec 16:** Goods returned to Pearl Traders Rs.10,000.

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
11	Debtor (Falcon) Account			
	Sales Account	?	20	
	(Goods sold on credit on settlement term 5/10, n/30)			20
12	Debtors (John Smith) Account	?	80	
	Sales Account	?		80
	(Goods sold on credit)			
16	Creditors (Pearl Traders) Account	?	10	
	Purchases Return Account	?		10
	(Goods returned to Pearl Traders).			

Practice 4.4

- Dec 17:** Falcon settled his account in full.
- Dec 18:** Cash paid to Pearl Traders Rs.48,000 in full settlement of his account.
- Dec 20:** Goods returned by John Smith Rs.20,000.

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
17	Cash Account	?	19	
	Discount Account	?	1	
	Debtor (Falcon) Account			20
	(Cash received & discount allowed 5%)			
18	Creditor (Pearl Trader) Account	?	50	
	Cash Account	?		48
	Discount Received	?		2
	(Final settlement to Pearl Trader 60-10=50)			
16	Sales return Account	?	20	
	Debtors (John Smith) Account	?		20
	(Goods returned by John Smith).			

Practice 4.4

- Dec 22:** Charity paid in cash Rs.2,000.
- Dec 23:** Goods worth Rs.5,000, Cash Rs.10,000 were taken away by the proprietor for personal use.
- Dec 26:** Goods distributed as free sample Rs.13,000 and given away as charity worth Rs.2,000.

	Particulars	PR	Dr. Rs. 000	Cr. Rs. 000
22	Charity Account	?	2	
	Cash Account			2
	(Charity paid in cash).			
23	Drawings Account	?	15	
	Cash Account	?		10
	Purchases Account	?		5
	(Owner withdrew cash & goods for personal use).			
26	Free Sample Account	?	13	
	Charity Account	?	2	
	Purchases Account	?		15
	(Goods distributed as free sampling & given away as charity).			

Important Tips To Remember - ITTR

1. Discount to Debtor is always "Expense". It doesn't mean cash payment
2. Discount from Creditor is always "Income". It doesn't mean cash received
3. Practice this exercise at least three times

Journal – Books of Original Entries

Practice
Journalizing
Complex Transactions

Practice 4.5 – Journalizing

- Dec 2:** Machinery purchased from Jordan on credit Rs.40,000
- Dec 4:** Machinery lost in fire accident Rs.20,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
2	Machinery Account	?	40,000	
	Creditors (Jordan) Account			40,000
	(Machinery purchased on credit from Jordan).			
4	Loss by Fire Account	?	20,000	
	Machinery Account	?		20,000
	(Machinery lost in fire)			

Practice 4.5 – Journalizing

Dec 8: Cash withdrawal from bank Rs.5,000 for office use
Dec 10: Cash stolen from Business Rs.3,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
2	Cash Account Bank Account (Cash withdrawn from bank).	?	5,000	5,000
23	Loss by theft Account Cash Account (cash stolen)	?	3,000	3,000

Practice 4.5 – Journalizing

Dec 11: Owner sold his saving bonds of value Rs.30,000 and invested that money in business
Dec 12: Profit earned on Bank Deposits Rs.12,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
11	Cash Account Capital Account (Fresh capital introduced by owner)	?	30,000	30,000
12	Bank Account Profit on bank Account (Profit earned on bank deposits)	?	12,000	12,000

Practice 4.5 – Journalizing

Dec 16: Received commission from a client Rs.10,000
Dec 17: Rent paid to Jamal by cheque Rs.20,000

	Particulars	PR	Dr. Rs.	Cr. Rs.
2	Cash Account Commission Account (Commission received)	?	10,000	10,000
23	Rent Account Bank Account (Rent paid by cheque)	?	20,000	20,000



Debit "Rent expense" ✓
Debit "Jamal" ✗

Important Tips To Remember - ITTR

While analyzing "Expenses" & "Incomes" for Dr or Cr, never use "*personal account*" like name of the person to whom expense is being paid or from whom income is being received. Use "*nominal accounts*" as Dr. account or Cr. account.

For example:

- Salaries paid to John, Steve and Zara; here personal account "*the names*" shall not be debited rather salaries as an expense account will be debited.
- Received commission from David, Nasar, and Rajab; here personal account "*the names*" shall not be credited rather commission as an income account will be credited.

Important Tips To Remember - ITTR

- Any event of loss belongs to "Expense"
- Profits and gains belong to "Income"
- Consider the difference between "withdrawal for office use" and "withdrawal for personal use"
- Dealing in cheque affects "Bank a/c"

Journal – Books of Original Entries

Subdivision of Journal

Subdivision of Journal

Journal is sub-divided because of large size of business.

Subdivision of journal is required because:

- frequent cash transactions
- large number of credit purchases and credit sales are creating numerous Debtors and Creditors

Types of Journal

1. Sales journal
2. Purchase journal
3. Sale return journal
4. purchase return journal
5. Cash book or cash journal or cash register
6. General journal

Important Tips To Remember - ITTR

1. Journal is also termed as "Day Book"
2. Broadly speaking there are three types of Journal or Day Book
 - a) for credit transactions
 - b) for cash transactions
 - c) for other events and conditions

Journal – Books of Original Entries

Sales Journal

Sales Journal



✓ Credit sales
✗ Cash sales

- Need for Sales Journal
- Recording transactions in Sales Journal

Practice 4.5

Record following transactions in a Sales Journal.

- Feb 1: Credit sales to Nelson Rs.3,875
 Feb 3: Credit sales to John Smith Rs.1,667
 Feb 6: Credit sales to Moon Light Rs.1,285
 Feb 10: Credit sales to Super Mart Rs.550
 Feb 17: Credit sales to Moon Light Rs.9,280
 Feb 19: Credit sales to Popular Traders Rs.2,880
 Feb 27: Credit sales to Pearl Traders Rs.8,250
 Feb 28: Credit sales to Royal Club Rs.4,244

Date 20X9	Name of Debtors	Invoice no.	Post Ref.	Amount Rs.
Feb 1	Nelson			3,875
Feb 3	John Smith			1,667
Feb 6	Moon Light			1,285
Feb 10	Super Mart			550
Feb 17	Moon Light			9,280
Feb 19	Popular traders			2,880
Feb 27	Pearl Traders			8,250
Feb 28	Royal club			4,244
Feb 28	Total			32,031

Important Tips To Remember - ITTR

1. Only and only credit transactions for sales are recorded in sales journal
2. Single effect is recorded in sales journal
3. Sales journal is totaled after a regular interval

Journal – Books of Original Entries

Purchase Journal

Purchase Journal



- Need for Purchase Journal
- Recording transactions in Purchase Journal

Record following transactions in a Purchase Journal.

- Feb 1: Credit Purchase from Shahla Rs.2,875
 Feb 3: Credit Purchase from Samrana Rs.667
 Feb 6: Credit Purchase from Amara Rs.285
 Feb 10: Credit Purchase from Fareeha Rs.550
 Feb 17: Credit Purchase from Saima Rs.8,280
 Feb 19: Credit Purchase from Arooj Rs.1,880
 Feb 27: Credit Purchase from Naila Rs.7,250
 Feb 28: Credit Purchase from Shumaila Rs.3,244

Date 20X9	Name of Creditor	Invoice no.	Post Ref.	Amount Rs.
Feb 1	Shahla			2,875
Feb 3	Samrana			667
Feb 6	Amara			285
Feb 10	Fareeha			550
Feb 17	Saima			8,280
Feb 19	Arooj			1,880
Feb 27	Naila			7,250
Feb 28	Shumaila			3,244
Feb 28	Total			25,031

Important Tips To Remember - ITTR

1. Only and only credit transactions for purchases are recorded in purchases journal
2. Single effect is recorded in purchase journal
3. purchase journal is totaled after a regular interval

Journal – Books of Original Entries

Sales Return Journal

Sales Return Journal



Goods sold on credit - returned by customers

- Need for Sales Return Journal
- Recording transactions in Sales Return Journal

Practice 4.7

Record following transactions in a Sales Return Journal

- Feb. 1: Goods returned by Madinah Stores Rs.200
 Feb. 9: Goods returned by John Smith Rs.100
 Feb. 10: Goods returned by Giant Store Rs.300
 Feb. 11: Goods returned by Falcons Rs.400
 Feb. 16: Goods returned by Pearl Traders Rs.50
 Feb. 19: Goods returned by Nelson Rs.150
 Feb. 23: Goods returned by Mega Mart Rs.500
 Feb. 28: Return inwards by Giant store Rs.600

Date 20X9	Name of Debtors	Credit note no.	Post Ref.	Amount Rs.
Feb. 1	Madinah Stores			200
Feb. 9	John Smith			100
Feb. 10	Giant Store			300
Feb. 11	Falcons			400
Feb. 16	Pearl Traders			50
Feb. 19	Nelson			150
Feb. 23	Mega Mart			500
Feb. 28	Giant Store			600
Feb. 28	Total			2,300

Important Tips To Remember - ITTR

1. Only and only credit transactions for sales return are recorded in sales return journal
2. Single effect is recorded in sales return journal
3. Sales return journal is totaled after a regular interval

Journal – Books of Original Entries

Purchase Return Journal

Purchase Return Journal



Goods purchased on credit - returned to suppliers

- Need for Purchase Return Journal
- Recording transactions in Purchase Return Journal

Practice 4.8

Record following transactions in a Purchase Return Journal

- Feb. 1: Goods returned to Mega Mart Rs.200
 Feb. 3: Goods returned to Royal club Rs.600
 Feb. 7: Goods returned to Super Mart Rs.120
 Feb. 9: Goods returned to Moon Light Rs.300
 Feb. 11: Goods returned to Star Gold Rs.500
 Feb. 15: Goods returned to Star Gold Rs.550
 Feb. 19: Goods returned to Dunhill mart Rs.600
 Feb. 23: Return outwards to Falcon Rs.800

Date 20X9	Name of Creditors	Credit Note No.	Post Ref.	Amount Rs.
Feb. 1	Mega Mart			200
Feb. 3	Royal Club			600
Feb. 7	Super Mart			120
Feb. 9	Moon Light			300
Feb. 11	Star Gold			500
Feb. 15	Star Gold			550
Feb. 19	Dunhill mart			600
Feb. 23	Falcon			800
Feb. 28	Total			3,670

Important Tips To Remember - ITTR

1. Only and only credit transactions for purchase return are recorded in purchase return journal
2. Single effect is recorded in purchase return journal
3. Purchase return journal is totaled after a regular interval

Journal – Books of Original Entries

Practice Subdivided Journals

Practice 4.9

Record transactions in the appropriate journals

- Dec 2:** Credit sales to Nelson Rs.600, John smithRs.200, Hills Bros. Rs.500
Dec 4: Credit purchases from Giant store Rs.450, Star Gold Rs.300, Moon Light Rs.250
Dec 5: Credit sales to Madinah Stores Rs.630, John smithRs.500, Falcon Rs.420
Dec 6: Credit purchase from Falcon Rs.1,000
Dec 10: Goods returned by Nelson Rs.100, John smithRs.50
Dec 12: Goods returned to Star Gold Rs.80, Giant store Rs.30
Dec 18: Credit sales to Super Mart Rs.650
Dec 24: Return outwards to Falcon Rs.200
Dec 28: Return inwards from Super Mart Rs.150

Practice 4.9 – Answer

Sales Journal

Date	Name of Debtors	Invoice No.	Post. Ref.	Amount Rs.
Dec 2	Nelson			600
	John Smith			200
	Hills Bros.			500
Dec 5	Madinah stores			630
	John Smith			500
	Falcon			420
Dec 18	Super Mart			650

Sales Return Journal

Date	Name of Debtors	Credit Note No.	Post. Ref.	Amount Rs.
Dec. 10	Nelson			100
	John Smith			50
Dec. 28	Super Mart			150

Practice 4.9 – Answer

Purchase Journal

Date	Name of Creditors	Invoice No.	Post. Ref.	Amount Rs.
Dec 4	Giant Store			450
	Star Gold			300
	Moon Light			250
Dec 6	Falcon			1,000

Purchase Return Journal

Date	Name of Creditors	Credit Note No.	Post. Ref.	Amount Rs.
Dec. 12	Star Gold			80
	Giant store			30
Dec. 24	Falcon			200

Important Tips To Remember - ITTR

1. Return outwards is "purchase return"
2. Return inwards is "sales return"

Journal – Books of Original Entries

Cash Journal Cash Book

Cash Book

- **Need for Cash Book**
- **Recording transactions in Cash Book**
- **Types of Cash Book**
 1. Single column cash-book
 2. Two column cash-book
 3. Three column cash-book
 4. Petty cash book

Cash book - Format

Cash Book (Single Column)

Date	RECEIPTS Particulars	Post Ref.	Amount Rs.	Date	PAYMENTS Particulars	Post Ref.	Amount Rs.

Cash Book (Two Column)

Date	RECEIPTS Particulars	P/R	Cash Rs.	Bank Rs.	Date	PAYMENTS Particulars	P/R	Cash Rs.	Bank Rs.

Cash Book (Three Column)

Date	RECEIPTS Particulars	Disc allowed	Cash Rs.	Bank Rs.	Date	PAYMENTS Particulars	Disc Received	Cash Rs.	Bank Rs.

Cash Book (Petty Expenses)

Date	Receipts Rs.	Particulars	Total Payments Rs.	Enter- tainment Rs.	Photo copy Rs.	Repair Rs.	Travelling Rs.	Postage Rs.	Misc. Rs.

Important Tips To Remember - ITTR

1. Only and only cash transactions are recorded in cash book
2. Bank is cash equivalent
3. Discounts are associated to cash receipts and cash payments

Journal – Books of Original Entries

Single Column Cash Book

Practice 4.10

Record following transactions in a cash book with single cash column and find closing balance to carry forward.

	Rs.
Mar. 1: Balance brought forward (b/f)	4,000
Mar. 3: Sold goods for cash	40,000
Mar. 7: Sold goods on credit to Alpha	75,000
Mar. 10: Bought goods for cash	28,000
Mar. 15: Bought goods on credit from Beta	42,000
Mar. 18: Received cash from Debtor (Alpha)	75,000
Mar. 19: Made part payment in cash to Creditor (Beta)	15,000
Mar. 20: Paid staff salaries	20,000
Mar. 26: Bought furniture for cash	25,000
Mar. 30: Paid Electricity bill	5,000

Practice 4.10 - Answer

Cash Book							
Date 20X9	RECEIPTS Particulars	Post Ref.	Rs.	Date 20X9	PAYMENTS Particulars	Post Ref.	Rs.
Mar.1	Balance b/f		4,000	Mar. 10	Purchases		28,000
3	Sales		40,000	19	Creditor (Beta)		15,000
18	Debtor (Alpha)		75,000	20	Staff salaries		20,000
				26	Furniture		25,000
				30	Electricity bill		5,000
				31	Balance c/f		26,000
			119,000				119,000

Important Tips To Remember - ITTR

1. Cash is "Asset", its opening balance will always be placed in Dr. side (Receipt side)
2. Closing balance of cash is excess of receipts over payments
3. Closing balance of Cash is always placed in Cr. side to balance the both sides

Journal – Books of Original Entries

Two Column Cash Book

Practice 4.11

Record following transactions into a cash book with cash and bank columns, also find closing balance for both columns to carry forward.

20X9

Mar. 1 Balances brought forward cash Rs.7,000; bank Rs.25,000

Mar. 2 Sold goods for cash Rs.40,000, the amount was deposited into bank on the same date.

Mar. 5 Bought stationary for cash Rs.2,000

Mar. 9 Bought furniture, payment made by cheque Rs.10,000

Mar. 15 Received Rs.15,000 in cash from Debtor Sagheer

Mar. 16 Received a cheque of Rs.20,000 from Debtor Kabeer and deposited into bank

Mar. 20 Made payment to a creditor Abeer through cheque Rs.18,000

Mar. 22 Cash withdrawn from bank for office use Rs.25,000

Mar. 25 Cash withdrawn from Bank from owner's personal use Rs.8,000

Mar. 28 Cash received from sale of old machine Rs.60,000

Mar. 30 Cash deposited into bank Rs.75,000 and paid salaries in cash Rs.20,000

Practice 4.11 - Answer

Cash Book								
Date 20X9	RECEIPTS Particulars	PR	Cash Rs.	Bank Rs.	Date 20X9	PAYMENTS Particulars	PR	Cash Rs. Bank Rs.
Mar. 1	Balance b/f		7,000	25,000	Mar. 05	Stationery		2,000
2	Sales		40,000		09	Furniture		10,000
15	Debtor - Sagheer		15,000		20	Creditor - Abeer		18,000
16	Debtor - Kabeer			20,000	22	Cash	C	25,000
22	Bank	C	25,000		25	Drawings		8,000
28	Machine Disposal		60,000		30	Bank	C	75,000
30	Cash	C		75,000	30	Salaries		20,000
					31	Balance c/f		10,000 99,000
			107,000	160,000				107,000 160,000

Important Tips To Remember - ITTR

1. In "Contra Entry", "cash account" reciprocates with "bank account"
2. Contra entries:
 - a) Cash deposited into bank
 - b) Cash withdrawn from bank for office use

Journal – Books of Original Entries

Three Column Cash Book

Practice 4.12

Record following transactions into three column cash-book; with cash, bank, and discount columns, also find closing balances to carry forward.

20X9

- Mar. 1 Balance brought forward: Cash Rs.3,000; Bank overdraft Rs.10,000
 Mar. 5 Cash received from debtor Burhan in full settlement of his account balance Rs.50,000, after subtracting 8% cash discount.
 Mar. 10 Received a cheque of Rs.70,000 from debtor Hanan in full settlement of his account after subtracting cash discount Rs.5,000.
 Mar. 15 Goods sold on credit to debtor Zain worth Rs.80,000 subject to settlement terms 5/10, n/30 and a trade discount of Rs.4,000. (credit transaction – no effect in cash book)
 Mar. 20 Paid Rs.40,000 through cheque to creditor Rehan after subtracting cash discount Rs.4,000.
 Mar. 25 Paid to Bilal his account balance due Rs.25,000 in cash after subtracting cash discount Rs.2,000.
 Mar. 30 Received cheque from debtor Athar against sales made on March 15th and deposited into bank.
 Mar. 31 Cash in excess of Rs.6,000 is to be deposited into bank. (Rs.6,000 should remain in cash balance c/f)

Practice 4.12 - Answer

Cash Book

Date 20X9	Receipts Particulars	P R	Cash Rs.	Bank Rs.	Disc. Allow Rs.	Date 20X9	Payments Particulars	P R	Cash Rs.	Bank Rs.	Disc. Rec. Rs.
Mar. 1	Balance b/f		3,000			Mar. 1	Balance b/f			10,000	
5	Debtor - Burhan		46,000		4,000	20	Creditor - Rehan			40,000	4,000
10	Debtor - Hanan			70,000	5,000	25	Creditor - Bilal		23,000		2,000
30	Debtor - Athar			76,000		31	Bank	C	20,000		
31	Cash	C		20,000		31	Balance c/f		6,000	116,000	
			49,000	166,000	9,000				49,000	166,000	6,000

Important Tips To Remember - ITTR

- Bank is not always "Asset". It is "Liability" if cash is overdrawn from bank upon facility
- Opening balance of bank over draft is placed in the payment side

Journal – Books of Original Entries

Petty Cash Book

Petty Cash Book

Accountants separately recognize cash at bank, cash in hand and petty cash:

1. Main Cash (significant)
2. Petty Cash (insignificant)

Mechanism to maintain Petty Cash Book

1. Petty Cash System
2. Imprest System

Petty Cash System

Petty cashier receives a fixed amount at the start of each week to meet petty expenses during that week.

Example

In the **first week** of business setup the petty cashier receives Rs.1,000 and spends Rs.970 for different petty expenses and left with a balance of Rs.30 in petty cash box. In the start of **second week**; the petty cashier once again receives Rs.1,000 from the main cash and keeps it in the petty cash box that increases the balance of petty cash box, on that day, to Rs.1,030. During the second week the petty cashier spends Rs.990. Now the balance in petty cash box, at the end of second week, is Rs.40. In the start of **third week** the petty cashier once again receives Rs.1,000 from the main cash book and keeps it in the petty cash box that increases the balance in petty cash box to Rs.1,040.

Imprest System

An imprest amount is fixed and provided to petty cashier that is subsequently topped-up exactly equal to the amount spent during the previous period for petty expenses.

Example

a petty cashier receives Rs.1,000 at the start of **first week** to meet petty expenses during that week on imprest system. The petty cashier spends Rs.970 for different petty expenses and left with a balance of Rs.30 in petty cash box. In the start of **second week**; the petty cashier receives Rs.970 from the main cash in order to top-up petty cash box balance up to Rs.1,000. During the second week the petty cashier spends Rs.990. Now the balance in petty cash box, at the end of second week, is Rs.10 and the amount for top-up is Rs.990 to make the balance in petty cash box equal to Rs.1,000.

Practice 4.13

Record following transactions in petty cash book on imprest system. Imprest limit is Rs.1,000.

Date	Transactions	Rs.
Jan 01	Funds transferred from main cash for petty expenses	1,000
Jan 01	Paid for tea bags	150
Jan 02	Paid for cycle repair	200
Jan 03	Paid for photocopies	50
Jan 03	Paid for cycle stand at bank	10
Jan 03	Paid for postage	60
Jan 05	Paid for sugar and tea biscuits	220
Jan 06	Paid for stove repair	180
Jan 07	Paid for stationery	120

Practice 4.13 - Answer

Petty Cash Book									
Date	Receipt Rs.	Particulars	Total Payment Rs.	Enter- tainment Rs.	Photo copy Rs.	Repair Rs.	Travelling Rs.	Postage Rs.	Stationery Rs.
Jan 01	1,000	Imprest from Main Cash							
Jan 01		Tea bags	150	150					
Jan 02		Cycle repair	200			200			
Jan 03		Photocopy	50		50				
Jan 03		Cycle stand	10				10		
Jan 03		Postage	60					60	
Jan 05		Sugar etc.	220	220					
Jan 06		Stove repair	180			180			
Jan 07		Stationery	120						120
		Balance c/f	10						
	1,000	Total	1,000	370	50	380	10	60	120
Jan 08	10	Balance b/f							
Jan 08	990	Imprest from Main Cash							

Important Tips To Remember - ITTR

- Petty cash book is prepared for insignificant payments
- Receipt side has single column, payment side is divided into multiple columns
- Imprest is topped up with actual spending in the previous period

Practice 4.14

Choose correct answer

- Goods purchased from John smith Rs.500 are debited to _____.
 - John smith account
 - Goods Account
 - Cash Account
 - Purchases Account**
- Commission paid to agent Jordan Rs.1,000 will be debited to _____.
 - Commission account**
 - Cash Account
 - Jordan Account
 - None of above
- Goods purchased for Rs.5,000 subject to 10% trade discount, amount to be debited to purchases account will be _____.
 - 5,000
 - 5,500
 - 4,500**
 - None of the above

Practice 4.14

4. Goods returned from debtors will be recorded in which book of account?

- a) Return inward journal
- b) Return outward journal
- c) Purchase journal
- d) General journal

5. Payment received from Star Brothers Rs.4,800 in full settlement of Rs.5,000 will be debited to _____

- a) Cash Account
- b) Discount allowed Account
- c) Star Brothers Account
- d) Both a. and b.

6. Loan repaid to Hassan Brothers will be debited to _____

- a) Hassan Brothers
- b) Hassan Brothers' Loan Account
- c) Cash Account
- d) None of above

Practice 4.14

7. Goods purchased for cash will be recorded in which book of account?

- a) Purchase journal
- b) **Cash book**
- c) General journal
- d) a and b both

8. Machinery purchased from on credit from Caterpillar will be recorded in which book of account?

- a) Assets journal
- b) Purchases journal
- c) **General journal**
- d) Machinery journal

Practice 4.14

9. Stock lost in fire will be credited to _____

- a) Stock account
- b) Goods Account
- c) **purchases Account**
- d) Loss by fire Account

10. Short explanation written below the accounting entry is called _____

- a) Explanation
- b) **Narration**
- c) Compound entry
- d) None of above

Answer: (1-d, 2-a, 3-c, 4-a, 5-d, 6-b, 7-b, 8-c, 9-c, 10-b)